specialty gift baskets) and Fitbit (known for their smartwatches and devices).

When thinking about your stock investing strategy, it's all about having wide variety and a good balance of stocks from companies with various market capitalizations.

INVESTING IN BONDS

A bond is basically an IOU (I owe you). It is a loan that you as an investor can make to the government, a corporation, or an organization to help them raise money. In exchange, you'll receive earnings based on the interest payments they promise you for the money you loaned them over a specified term. The type of bond issued depends on the entity issuing the bond. With bonds, you face the risk of losing money if the entity in question is unable to pay you back in full or if you cash out your bond investment before the bond term agreement expires. However, bonds are graded by risk, which can help you make smart decisions when it comes to buying them.

WHAT TO KNOW ABOUT BONDS

Here are a few terms associated with bonds that are good for you to be familiar with:

- **The borrower or bond issuer.** This is the entity that issues the bond.
- **Interest.** This is the fee the bond issuer pays for what they borrowed. Interest rates can vary across bonds depending on the risk level of the bond, the time until its maturity, and the current market interest rates.
- **Face value.** This is the full amount borrowed.
- **Maturity date.** This is the specific date for eligibility to get the face value back.

Most individual bonds have a face value of $1,000. Bond interest payments happen in advance of you receiving your face value back. Just like with stocks, there are also different types of bonds in the United States. They include: